INTRO TO THE STOCK MARKET · A COMMUNITY COURSE

WK 2 / 12

Where prices come from

Bid, ask, the toll bridge between them — and what “free” data really costs

We grade decisions, not outcomes.

0:00 — HOMEWORK HARVEST

VOTE

The Wall of Resulting

Headlines out. One sentence each: why does yours smell like luck dressed as skill?

Class votes. Winner gets pinned — and stays up all term.

The Wall grows every week. By demo day it is a museum of other people's confidence.

Education, not advice.

THE KEY PICTURE

A quote is two queues and a gap

BID — the buyers' queue

People waiting to buy, and the most they'll pay.

Highest bidder stands at the front.

THE SPREAD

a toll bridge

cross in a hurry,
pay the toll

ASK — the sellers' queue

People waiting to sell, and the least they'll take.

Cheapest seller stands at the front.

The “last price” on every app is history. These two queues are the present. Volume is how busy the bridge is; OHLC is a whole day folded into four numbers.

PAPER EXERCISE — IN PAIRS

Price the toll bridge

Quote screen A

A giant company everyone's heard of. Find the bid, find the ask. Now: buy €1,000 worth and sell it straight back. What did the round trip cost?

Quote screen B

A small company you haven't heard of. Same exercise. The toll will genuinely surprise you — and it's charged in silence, on every trade, forever.

Both numbers go on the board: the first entries in the course's running cost ledger.

WHY IS OUR DATA DELAYED?

Because immediacy is the product

Real-time, co-located

Computers renting space inside the exchange building. Serious money, paying serious rent, to be microseconds ahead.

15-minute delay

The cheap seats. Fine for humans; most free apps live here, quietly.

End of day — us

One calm number after the noise stops. Free. And nothing this course teaches needs more.

Plant the flag now: feeling that you need speed is usually a sign you're gambling, not investing.

25

THE RATION BOOK

live lookups per day. For the whole class.

That's the free data ration. So — if you had 25 looks a day at the entire market, how would you spend them?

WHY CHARTS LIE

The 50% crash where nobody lost a cent

Monday

1 share
€100



Tuesday (2-for-1 split)

2 shares
€50 each

The chart shows

–50%
“crash”

Dividends do the same trick in miniature — cash leaks out of the price on the ex-date.
The fix: adjusted prices — history restated as if today's share structure had always existed.

Course rule: raw prices for today; adjusted prices for any chart longer than a season.

0:55 — PHONES OUT

Spend the ration deliberately

1 AAPL — read the response out loud together

2 TSCO.LON — a London listing; note the symbol dialect

3 One ticker the class chooses

4 A nonsense ticker — watch it fail politely

5 Budget dies early? Celebrate — read the limit message off the screen

An experiment plan, not a scramble: ~8 of the 25, spent on purpose.

TWO HONEST DETAILS

In every single answer the toolkit gives

`“delayed”: true`

The toolkit admits its data is delayed — in writing, every time. No fine print, no asterisk.

`“warnings”: […]`

When a data supplier refuses or limits us, you're told exactly what happened, in plain words.

The toolkit tells the truth about its own data.
Hold everything you meet after this course to that standard.

THE TRANSPARENCY MINUTE

The lock and the promise, side by side

THE PROMISE

Every line of code — every rule, every calculation — public on the internet, forever. No account needed to read it.

THE LOCK

The secret keys that fetch the data? Sealed, never published — and you can verify that claim yourself, in the public code.

Open about how it works. Careful with what must stay secret. That combination is what honest looks like.

1:20 — HOMEWORK

One company you actually know

The journal entry

Pick one company you genuinely meet in daily life — the shop, the phone, the airline. Title: “What do I actually know about this business?” No numbers. No looking anything up. Just knowledge from living.

The small one

Use the lookup to find your company's ticker symbol. If the lookup can't find it — write that down too. Coverage gaps are data, and next week they matter.

GO DEEPER — FREE, FOREVER, OPTIONAL

The Economy 2.0

A complete university economics course by CORE Econ — free online, no account, no catch. The same ideas tonight's lesson used, done properly:

MICRO UNIT 8 Supply and demand — bid, ask and how the gap closes

MICRO UNIT 10 Market successes and failures — when one side knows more than the other

MACRO UNIT 6 The financial sector: debt, money, and financial markets — the plumbing behind tonight's quote screen

books.core-econ.org/the-economy